# AI Is Financing Its Own Boom

**Podcast:** Know your risk

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# AI Executive Summary

1. **Core Thesis** The episode argues that successful long-term investing requires discipline during market correctionsâ€”specifically utilizing deep-drawdown periods to accumulate quality assets ("coffee can account") rather than avoiding lossesâ€”and demands skepticism toward current capital-intensive hype (e.g., AI hardware) until profitability is proven. Simultaneously, it advocates for a pragmatic, centrist geopolitical outlook on the Israel-Iran conflict where ideological purity fails in favor of assessing structural realities and historical precedents regarding "strongmen" that maintain functional social equilibrium despite political flaws or human rights concerns.

2. **Key Arguments & Data**

3. **Investment Strategy:** When broad indices are down 25% to 30%, hosts suggest a net buyer mindset regardless of the specific cause; hedging often prevents capturing these rebounds, emphasizing that "every short feeds longs."
    - **"Coffee Can Account":** A framework for holding quality brand staples (e.g., Coca-Cola, FedEx) in deep drawdowns with high expectations on long-term returns and dividends, ignoring temporary market noise.
4. **Market Performance (End of Day):** S&P 500 flat/down slightly (-0.3%); Tech sector under pressure (-SMH -2%, DRAM down). Commodities strong (+Oil up ~6-10%, Gold +1%). Bond yields tightening/normalizing (2yr +4bps, 10yr +5bps, 30yr at 5.25%).
5. **AI & Tech Skepticism:** Hosts are concerned about the capital requirements for AI companies (e.g., Nvidia) to sustain growth; while demand exists, profitability may lag behind "half-trillion dollar" subsidy needs and customer-financing models ("shark tank").
6. **Citadel & Hedge Funds:** Citadel is a significant market mover (~$70B+ AUM); Ken Griffin operates with an aggressive "cutthroat" culture where human emotion does not matter, prioritizing P&L over morale. Their impact extends beyond size due to market-making roles.

7. **Geopolitics (Iran/Israel):** US policy is shifting back toward the base case of leaving without a nuclear deal rather than pressuring for concessions; military intervention appears costly with no clear winner ("cost and no win"). Strongmen may hold power because they organize society better than alternatives, even if authoritarian.

8. **Political Discourse:** Centrist philosophy suggests neither major party has sufficient tools to fix modern challenges; policy requires a mix of ideologies (e.g., borrowing from FDR, Goldwater, Marx) like making "stew."

9. **Actionable Takeaways**

10. **Portfolio Positioning:** Maintain awareness that market sectors are often inverse compared to traditional indices this year; consider adding small positions in deep-drawdown industry leaders if fundamentals suggest quality is intact despite valuation or temporary issues.
11. **Hedging Discipline:** When trading, understand your hedging structure clearly; stepping aside from trades during drawdowns should be framed as preparation for buying back at lower prices rather than a permanent exit.
12. **Capital Scarcity Analysis:** Approach growth stories (like AI hyperscalers) with skepticism regarding capital efficiency and long-term runway relative to revenue generation potential.
13. **Geopolitical Awareness:** Avoid binary political views on complex conflicts; recognize that removing perceived villains might destabilize regions, requiring a more nuanced approach similar to "Chesterton's Fence" before intervening in international affairs.

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# Full Transcript

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And we are back with another edition of the daily dots. And I'm joined as always by the brain trust himself, Mr. Chase Taylor. It's a rare day. We both make it back into the studio, man. It feels good to be here. Other than the 79 degrees in here, it does. Yeah. Yeah. It's 77 now. Come on. Well, the back wants to 79. It might be 77. You got to go with the most favorable read. Like, for instance, it's always the optimist. Yeah. Well, when you look up your stocks at the beginning of the day, And I didn't even hit the sexy button. So, I mean, that was going to kill our views there. But when you look up the stocks the end of the day and you get conflicting quotes, which one do you believe? I believe the one that says we're up 7% pre-market. My favorite is the fat finger one is like, you have 100,000%. Let's go. Yeah, boy. You're my money broker. I'll sell that. Yeah. I've had some. I've had some good. You know, I can't really complain though. You know, just because whenever you see those, it feels like whenever those, you see those moves and a stock goes ballistic and it's just going crazy or whatever.

It always feels like you're not in that stock. I've been in a few of them. I can't complain about it. I don't think anyone was as wild as the GameStop one. Yeah. That was so funny to watch. Everybody like, why'd you sell it for? Why'd you sell it 43? And I'm like, because we because we knew what

the company was worth. I don't think I could have held it all the way up to that. Well, I did. Well, to be fair, I didn't. I put in the order I put in the sell order at 38. And by the time you put the order in, it was a 43. That that is that that's another first, right? You don't usually make an additional 20% from the time you put in the order till the time it's execute. Yeah, that's how you know your cash in a mania, but one mistake I I've done the I've done the post mortem on this one a few times I think even on the show before one mistake and I will never forget it from that trade and I thought I knew that lesson before that trip But leave a runner on yeah that yeah the angel shares a call it that is a so Worthy exercise everyone should somehow work into their plan. Yeah. Yeah, even especially when you catch one like that, even if it's really little. Yeah, even if it's like 10 basis points, like if I'd have led 10 if I'd have led 10 basis points on it, right? That thing 10 X over the next seven trading days. Yeah. So they go to become a one full 1% nice little bottom line mover. Yeah. No, I probably wouldn't have left that on. I mean, we'd already made four X on our money. So I'd have let 50 bips ride. The biggest thing is it Mentally, it's helpful. 100%. It like, well, it pets your ego. Like, hey, we're still, we're still participating. Yeah, we're not done for selling at all. Yeah. Yeah. You know, one of the toughest ones, and I'm trying to wrap my, I think I've gotten better at it, but one of the toughest ones, and I've heard Druckenmiller talk about it. It's also really tough to rebuy a stock that you sold that you were wrong to sell. Something I've been working on yet. And especially one that you passed up. Well, I feel like it's tougher.

to get back into one that you sold and realize that you sold too early. That's, that's, that's the toughest one. I feel like akin to that is, you know, eyeballing a stock for an extended period of time and not, not jumping on it when you should, watching it run away from you and then realizing, you know, 30% later, it's still good to get in there and get, grab it. Yep. It is very hard. It is. We are wired to not want to do that for sure. I know. Another one came up to this and it always goes back to flipping back and forth. Another one that came up. is that it is, you know, one of the things I've put in my mind is that regardless of what is going on and regardless of size, anytime you are trading in an environment where the index is pulled back 25% more or more off its high, you are going to be a net buyer. Doesn't mean you're going to be out there throwing it around, but you're going to be a net buyer.

And I spent some time over the weekend thinking about why that's been hard for me. And I think I've probably been a net buyer in all those circumstances, but not big enough. Hedging makes that more difficult for me, especially when you hedge it correctly. When you've sidestepped a big move down, it is tough to jump in there and put money at risk. And yet, one of the things I have to always remind myself is you didn't step aside to miss the hit. You stepped aside so you could buy. Right. So with our old, or that adage, every short feeds longs and to keep that in your mind, right? Every short is a temporary trade and the proceeds from that have to feed your longs. That's my soapbox moment of the day. Yeah. I think the funny thing about drawdowns is everyone, it feels real. It feels like the one, it feels like they come up and risk, risk of like all the risks you've seen, like all rolling into one monster. Like this always feels real on the way down.

That's why I think a framework for understanding which drawdowns are real and why and which ones are just just a little drawdown is so, so important. Yeah. That's one of the reasons to track all the systematic positioning and stuff. So, you know, like, was this a little positioning wrench or like has something changed here? Because if it's just a positioning wrench, you're like, whatever, press go, like get the hedges out of here and put them on. But then, you know, you have to know the difference between that and Oh, wait a second. Something might be changing here. Yeah. But even my whole point, though, is if you look back historically, and I'm not saying you have to go into the eye of the storm. A lot of times, that's not a good idea. But when you've got an index that's down 25% or 30% off its high, it's never been a bad idea to go in there and buy staples. Not the category, but I mean like index staples. I'm not saying, like I said, like we said the other day, If the company's name is a verb and it's running 50% or whatever, that's probably worth a shot. Right. Like for instance, I was talking to a buddy of mine on Twitter and he was like, yeah, now he was a Goldman guy. So he's got a little more experience than most, but he's like, yeah, I remember in 2009, he goes, I backed up. He goes, it's one of the only times I've ever used leverage. He goes right around the bottom in 2009, I backed up the truck, used some leverage and bought big positions in Coke, big positions in, you know, just a couple other stalwarts. Right. And he goes, eight months later, Positions are doubled. I was collecting fat dividends. I have what I call a coffee can account and it's

literally for great brands that are in a big drawdown. I don't care why. I don't care if it's real. I don't care if it's just fake. If some amazing brand is getting killed, I just want to buy it. You got Nike in that category, don't you? Yeah. There's stuff in this. Let me think. Target.

UPS or FedEx gave me which one. Yep. I think it's FedEx. I remember when FedEx was supposedly on Death's Store. Wasn't that FedEx? Yeah. One of the big annoying healthcare companies we all hate, but it got shellacked. Put that one in there. That's already up a lot. Boeing was in there. There's this bunch of names where you just like, look, I don't care why this is down 50, 60%. I just know it's a great brand and 20 years from now. It's probably going to be okay. And probably a hell of a lot sooner than that. So you just put a crazy price target on it, back to a new all-time high or whatever, then you'll get out. Other than that, like nope, like just going to sit here and casually own this. Usually the things pay dividends because they're old companies. Yeah. And when you buy them like that, they usually pay pretty steep dividends. In fact, Adobe got put in there. Oh, there you go. Yeah. Hey, speaking of which, we're already at almost eight minutes in. We haven't done the rundown. Why don't you run us through that? Well, that's actually for the best because the market just closed three minutes ago.

So we were flat mostly this we were finished up pretty flat yep S&P down 0.03 accused finished down 0.3. I will say not bad given everything else He's a dollar was up 0.2 Which had all world X us down 0.45 max 7 was down a tiny bit And the reason I say not bad for the market to be flat. Yeah, the two year up four basis points 10 year of five basis points 30 year of five basis points So the 30 years back to 5.25, that is not pretty. Oil closed the day at 5%. So again, oil rates, dollar up, market flat, not bad. Likewise, very impressive to have gold up at 1%, silver up 4%. Now, metals, miners a little flatter because the oil price matters to them more than the rest. But awesome day for precious metals given that backdrop. Vol closed the day flat.

DRAM down another 2%, SMH semiconductor ETF down 2.3%. So the AI trade continues to pull back a little here. Nvidia closed the data on 2.8. It was a little worse at one point. They're working on some deal with finance years for half a trillion dollars. That's real money. Intel selling stock. Look,

I'm trying to look. I don't mean to cut you off. I try to look at news like that out of Nvidia in some other way. Yet at the same time, I feel like most of what they talk about now is trying to enable and help other people buy more of their stuff. What am I missing? No, I mean, you're not. I mean, you're not. It's a tough one. I just hate that. There's a big part of me that wants to buy a bunch of Nvidia because it trades at such a reasonable price.

I just think of it like in simple terms, you know, sometimes in an economics, you can go too simple. But if I ran a plumbing business and I had to give people money to fix their plumbing, I would have a terrible business. Yeah, we all recognize that. But when it comes to when it comes to, you know, these AI companies getting money from the people that they're going to buy the equipment from, I feel like a lot of people don't really blanket that. I feel like you'd be like, if one of my boys came to me and was like, dad, I've got this, I'm bringing this girl home. She's just great. Good Christian girl, you know, works hard, just great girl. And then I find out she's on OnlyFans. You know what I mean? And I'd be like, son, I can't look past that. And I just, I'm struck. It's not good to, like maybe not the best analogy here, but you know what I mean? Where you find out this, where you're like, oh, Gosh, Jensen, if you could quit talking about constantly trying to finance your customers, I, I did, I feel like when I start moving toward the AI thing's going to continue and we've got years ahead of us in runway, I hear that and I'm like, I just can't square that with the endless demand and we're never going to catch up to it and our margins are never positive. You'll see, like, by the way, help us put together a half a trillion dollar slush fund to finance this. And then you're like... That goes back to what I said. I think it was Friday. Like the capital scarcity is coming before the ability for this to pay itself back. Yeah, man. And these Wall Street firms, like how in the world are they... They have to know, like, man, this is super risky where they should know that. And then there's also part of you that's like, well, wait, The fact that they talk about this so openly and blatantly, you know, so, you know, because you and I sit there and I think more seasoned investors, you know, sit there and they're like, that smells fishy. You know, but they talk about it. It's so open that you're, you kind of sit there questioning yourself going, maybe I'm the one that's looking at this screwed up. Maybe it is different this time. And, uh, You know, that's going to be really nice to have a veal, like I was saying, the guy that we're having

on Wednesday, to just talk about it from that side of it. Because, you know, I've heard a couple of comments out there like, I'm not going soft on this guys. Like I'm a hardcore fundamental investor. I just know that when I have summarily dismissed things and not really thoroughly, it's been the biggest source of my misses. Well, I think we should start building a position, honestly.

I think judiciously and in small bites, but you have all this AI stuff down 30, 40%, whatever. I agreed. You and I were talking about this last week. And I, there's a lot of disagree with Gavin on from that interview he did, but like to be fair, like the demand is there. Yeah. Like I think that's pretty clear. I think it's odd. I have concerns about it more than he does, but. Well, and he seems to be bullish more of the hyperscalers too, where I'm like, yeah, I don't get that. Yeah. No, no, thanks for me. But I will say, And I think I said on the show, like the one thing I didn't understand from his interview as a whole, like, hey, the free cash was about to rip back positive. And I had not seen anything. I tried to replicate that, couldn't do it. But Goldman Sachs had like, they're backing it up. They're saying they're showing that the free cash flow is going to explode higher soon for the hyperscalers. And so we'll see. So I only saw the chart haven't, haven't read what they, how they came to that conclusion. But then, you know, this.

stuff like this, the half trillion, or just the price of it all, the price of power, the price of the compute, the price of the chips, the price of the memory just won't stop going up. I will absolutely believe that when I see it. I'm not willing to take a right tail hedge with a small portion of the portfolio just in case it works out. Sure. But am I trying to Ashenbrunner this thing at 400% long? No. Don't see it. Are we going to? Is it the last name that's going to be it? Or are we going to go Leopold it? Ash and Brenner situation awareness. You call it whatever you want. OK, all right. I just think Leopold is like an awesome name, by the way. Well, yeah, because it makes him sound like Belgian King 100 percent. And it makes him, you know, like if his name is Leopold, it's more possible that he's got a hairless cat. You know what I mean? And he's sitting back in his big back leather chair. He might have some stalactites in his home office.

You know, can a cavern feel kind of deal? I mean, you know, if you can go with the whole doctor evil motif, why wouldn't you roll with that? Where you go, Ashton Brenner, it makes him sound like he was on the foreign, the joint judiciary committee or something. Do you think he has sharks with lasers attached to their head? I mean, if he's, if he, yeah, I mean, he should, he made enough money for that. I mean, that's, I mean, that's what I, I mean, are you really rich until you have. We sent our congratulations to him for his wedding. Did we? Yeah, we do. Okay. Yeah. Yeah. Jesus, he just tied the knot. Yeah.

Yeah, you're speaking words for a guy that just lost 80% he looked pretty happy. Yeah, it's awesome. Good friend Yeah, well when you lose and walk away with a couple billion I think it probably makes it a little easier to say that people apparently trying to get more money, so That's the way that's the way we wonder if that work at Bork take 80% losses and we just have the Have all Kenny G'd call us up and want to buy us out. Yeah, well probably probably wouldn't work quite like that He's the one that really made some money on that. Oh, that guy is the ultimate scalper man. He's a killer He, uh, he smells, he smells blood. Well, and somebody brought up an interesting point too. It was probably Kenny and the boys that drove him in. I mean, they called hardcore for a hike right before, which helped, helped pressure that. So how big is Citadel now? Oh, it's, I don't know, but it's big. It's very, very big. And they're almost like a financial conglomerate because they do a lot of different stuff. I think people lose side of that. Hey, and just little story about Ken Griffin from the inside. Now this, this story is, it is anecdotal.

But it's as close to clear fact as I can... It's gospel to me just because I know the person. A guy that I grew up with, a good friend of mine in high school. He now runs a hedge fund based out of the Bay Area. And he's been very successful, good investor, really good on the tech side. But I think it was his second job in finance. He took a job at Citadel. He was a trader for him. And he was running a... I'm not sure what the corporate structure was, but he was running his own P&L. and he made a good amount of money there, made a bunch of contacts, but I was like, so what's the deal with Griffin? Like you work for him, is it different? And he goes, he is a horrible human being. And I said to him, I go, what do you mean? He goes, he was never

rude to me, but he goes, he was so cutthroat that he was not encumbered by typical human emotion, meaning nothing mattered more than money, nothing.

If you made a bad move or if you had a bad week, and he goes, one of the things we do is you track the talent that he'd get ticked off for whatever reason and just ask him, just, you know, he goes for, you're sitting there going, man, that guy was a performer. And there's a party that's like, oh, a competitive environment, all that kind of stuff. He just said, man, he goes, he goes nobody. He goes, everybody's afraid of him. He goes, so you respected him in that way. But he said, even the people knew that he is like, Borderline sociopath like he did not give a damn about anything but the bottom line didn't care about your family Didn't care about how you were doing personally you were putting up numbers or you weren't and that's all he saw and There's a part of you on the business side where it's respected. Yeah. Yeah, it's kind of like Michael Jordan You know where you go, you know at the same time I couldn't sleep well at night doing that right But you know, I'm also not worth 60 billion dollars. Yeah, let's say the AUM's close to 70 billion But their impact on the markets bigger than that with the market making they do especially in the markets. So well the AUM is running I mean, I mean, so if they're the normal hedge fund, you got to think that that on average is two to three acts so you're swinging safely 160 to 200 billion. They're a big player. Yeah, I mean that's safe. Yeah, that I mean that you throw that rock in the pond There's gonna be some ripples. You know what I mean? What oh I was kind of We got our end of day performance. I was a bit surprised by that. I wasn't, I mean, I knew we were probably sitting pretty, but I didn't realize we were up that much. Yeah. I mean, oil K was up like 6%. Precious metals were up. Um, but kind of the same things that I've been talking about for weeks now. Software continues to do well. Health care continues to do well. Biotech continues like stuff, stuff like that. You know, here's the other one too. And this has been a trend I've seen. And I think everybody that's more on the bearish side should be aware of that.

And I don't want to speak for all of them, but I would bet dollars to cents. This would be the majority of the liftoffs from previous all-time highs is that this market, and you know what? I'm saying this, this may be a trend

going back forever, but just something I've noticed over the last several years is that the advances and the new highs, like you were usually able to trust that because it got to the previous all-time high. A technical, technical traders are going to be screaming through the screen right now. Be like, that's the way it always happens. And maybe the right. I don't know. Again, I'm from a fundamental side of it. But what I've seen is where I've seen the durable bottoms or the real new highs that you could start saying, okay, we're going to advance from here is typically when you really struggle for a period of time, move sideways. And when you start moving above that previous all-time high, it's not big, right?

two steps forward, one step back. It usually happens in a way that gives the bears still holding on just enough hope to stay short. And then it just kind of slowly, it feels like you're kind of starting that market index grind higher here that's going to kind of solidify this move to new highs. I'm not saying that's what's going to happen. I'm not betting on that. I mean, our portfolio is not at all. Well, we're we are the opposite of closet indexers. It's safe to say. Yeah. So, so I really don't have a dog in this fight over a commodity software. Oh, I mean, all you'd have to do is look at our portfolio and compare us into the index just this year. And you'd see it's virtually inverse. I mean, it feels inverse. It's not, but although energy is the best performing S&P 500 sector this year. So, you know, that certainly helped a little bit, which I'm sure no one would guess at home. No, no, who needs oil? Yeah.

I mean, come on. Especially since we control straight, apparently. Boom. You know, this to me feels like I take no pleasure in the fact of the stuff that we've been right about. It feels like that really disappointing. But completely unavoidable ending that you knew was coming. I think that all of the posturing of Trump now talking about put out a true social today, we're going to make Iran pay for all the people they've killed. All I hear now is obfuscation and distraction to keep you away from focusing on what's going to go on. We're either going to take a really bad deal right now or we're going to take one in the not too distant future, or Iran's just going to remain controlled astray and we're going to- Or is going to leave, yeah.

But now we're getting to the place where I feel like the they like just leave option is almost the only option because So I don't if you saw the reports

that came out and basically said at least privately trouble-selling people like he's even he's even cool to leave without a nuclear deal at this point So if you're cool to leave without a nuclear deal thought it was all about the nucleus all yeah, if you're if you're willing to leave without a nuclear deal And you have to leave leaving them straight control Well, what is the deal even for? What's the point of giving them any concessions? So I think more and more now I said this whatever it was like a week or two in that my base case was we just leave because we have to Now I swung hard to like oh, we're gonna do a deal. It should be a bad one But now I'm kind of swinging it back to the original base case of like I think we just got to leave Hey as opposed to what? Right like that way at least you don't have to give them the money in the in the sanctions relief and everything you can just Now, obviously it's problematic. They control the street and they have a nuclear program, but I it's a I don't even understand. I like that. Yeah, I don't get any of it. I look at it from a political standpoint and I'm like everybody like everybody that is not does not have like a MAGA tattoo on their body somewhere is is not on your side. Like, you know what I mean? You've engendered no friends through this process and not saying that's the only thing, right? But just Like I don't understand and this is not a political show so we don't have to go down this but I don't even understand what the internal dialogue is regarding this where I'm like Guys this needs to you're not gonna convince everybody this is about Iran having a nuclear deal because you're gonna leave without one Which is gonna be worse than we were off prior to this they're better off like I don't know I'm watching people still try to spin this somehow as a win because we obliterated their military what military really, really missing the force for the trees. Yeah, because Iran's just been a bully with their military in the Middle East for the last 20 years. Maybe like getting beat up in a school fight and being like, but did you see those four jabs I landed? Those are great technical punches I should get points for. Yeah. And everybody's like, well, they're proxies, they're proxies. Which means what? Like when their greatest offensive capability is their proxies probably means they're not swinging a really big stick on the military side themselves. Right? Like so, would you take a, out of a fleet of Military boats with 90 horsepower evidence on the back of them. Is it was that our big accomplishment? Would you take out a few Soviet era migs? You know, I'm like, what are we talking about? I it's the biggest cell phone and the reason I bring it up and the reason I focus on it is because cell

phones like now look cell phones cell phone. I'm playing a dangerous game there. Um, but on goals. Yeah. Here's why it freaks me out. And look, we We got to get outside the realm of talking about what things should be, what they mean in actuality. We know that we're playing a giant echo chamber type world, right, where public perception matters. And usually it's not correct, but it matters, right? Every part about this just reeks, you know, from political, from the perception internationally, there's just no wind to be had here.

And which is why, you know, we obviously didn't want to go into the first place but watching this drag out watching them still try to put out as truth social things It's all about Iran not getting a nuke, but you're prepared to leave without a nuclear. It just I don't get I I think the bottom line is is the only reason they haven't left or taken a back deal is because it was cheap The only reason it was cheap is because they keep talking it down. Yep. So they're just weird circular thing where they're bidding against themselves kind of without realizing it maybe but So the question just becomes you know When is oil enough pain for them where they have to just leave or take the deal or whatever the case may be? Well, the other thing I was going to say, and I got sidetracked, but look, again, not saying this is all Trump's fault because it's not, but when you've got candidates and big swaths of the younger generations in our country that are voting age, you're throwing around words like communism openly, right?

anything that we do like this. And again, I'm not saying that we should do the right thing regardless of what the political ramifications are. Okay? I never thought this was that, just because I never thought there was a way to win. And a good idea, if you're not prepared to do what has to be done in order to win, don't go into the first place, right? And again, it's kind of a weird thing because I applaud. Or if you're not willing to get yourself stopped out quickly. Right. Yeah, there you go. Trading analogy. Because I applaud his unwillingness to double down and put troops on the ground and to go in there Which is exactly why I didn't think you should have been the first place, right? but When when we keep putting misinformation out there about this is all about nukes when it clearly isn't when it's all this stuff All you're doing is making a greater case and loading the gun for your political enemies that are pushing for some very dangerous stuff right now, right and

That's what scares me that you know just yeah Anyway, and I'm not saying you should placate those people. We got to do the right thing But getting involved in this war when you like when when I think any really discerning or knowledgeable person looked at it was like I Don't I don't know how you're gonna get out of that one man. That looks like all cost and no win is what that looks like and It would be one thing if we didn't have the last 30 years Teaching us lesson after lesson after lesson. What do you mean to not get involved in Middle East? You know, what do you mean? Yeah? Oh, you know Iraq, Afghanistan racked more than one time. Not to mention Syria. We've been involved in a lot of these areas multiple times. It's always turned out good. That's another thing. I remember coming to that realization of any time, and I'm going to use the term west because that's where we're from, but western aspirations or western projections and any culture doing that to another culture is always a dangerous game.

And one of the reasons it's a dangerous game is I grew up believing that I grew up believing the house Assad was a bunch of horrible people. And I think there are a lot of horrible ones in there. You know, Bashar al-Assad thought he was a complete thug and horrible person. Gaddafi, same thing. You know, fill in the blanks, right? I'm blanking out on who was the other one? Who was that? I'm saying who is that? Is Syria Assad? That's right. That's yeah. Hello. Yeah. Saddam Hussein, the same one. Not nice fills. No. And then what you realize is, look, this shouldn't be our aspiration or our goal is to tell other people how to do things. But sometimes strong men are there for a reason. And sometimes strong men are far better than the alternative, right? It doesn't mean in the United States, we should aspire to having a strong man. But just saying one of the reasons that those guys are in power is they've been able to somewhat organize society in a way that is somewhat functional. And that is what it took them to be able to do that. The minute you pull, I mean, it's like pulling a teacher out of a classroom in a way. Now, people will be like, well, look at all the death and go, well, look at all the death that happened when you pulled him. It's like Chesterton's fence. Yeah. You're like, why is that fence there? So you take it down only to learn why the fence was there. Right. And I think that's the case here where it's like a wheel in a...

mechanical device where you're like, it doesn't look like this thing's doing anything. Let's take it out. They take it out and it breaks. You're like, oh, whoops. Like, I think that we don't need this did have a function in there. Yeah, we don't need this. I mean, because you can't there's no you can't model, you know, religious and ethnic, you know, problems between different groups of people or clans or tribes or whatever. And then be like, all right, well, if we change this one variable, what will happen to the equilibrium these tribes are in and like You can't do that. So whenever you go in there and you start knocking stuff over, you can't predict what comes out of it. No. You know, the other thing that it continues to amaze me, the older I get is how rarely the extreme take in virtually any conversation is correct. It just isn't. And it's surprising to me because you'd think like a law of averages and the thing, and I'm not, I'm obviously not advocating a milk toast approach. I've got pretty strong political beliefs. It's just almost never that.

You know, no, that's why I think I've become more of a centrist every year of my life is because I find the truth to be between the two seemingly always expanding divergently views from the You know the tribes to go back to the tribal. Yeah, I think I'd probably identify myself more in that same light as well the one thing I kind of pull back though is that definition or the other words centrist because with each passing day i'm i'm increasingly convinced that we face issues and trials and challenges that neither side is capable of fixing and so i think i think one of the big problems we've got in america is i think that the political discourse has sort of outlived the political machines that we have in place meaning you know we're we showed up with like heavy earth moving material and we need to what we need is finished carpentry Right? We got, we got finished work that needs to go in and tile work and all that. Like, hey, we're here to do work. Well, I know you're here to do work, but it's all the wrong tools. Right? And I don't think that either party has the answer. And we've talked about Lincoln. We've talked about Roosevelt before. If you look at those pre periods of times, which I think are pretty provide good examples, very different than what we're currently dealing with. But both of them dealt with the issues of their time in ways that neither party would was ready to really embrace.

Well, yeah, they both, you know, crapped on the Constitution. So they added some tools to the tool kit that weren't weren't supposed to be there. I know, which is a touchy thing to bring up because I'm such a constitution. When I was young, my view that was very pure ideological like you can't do that. But but my view now I'll kind of look back. I don't like I don't know what would happen if they didn't. But my view when I was younger, my view of FDR was different, too. Like I thought it was all just garbage and, you know, Spent way too much and was the beginning of socialism and you can certainly level some of those plenty that is out. Yeah at the same time Hoover Dam work pretty good You know some highway systems that have proven pretty bad again It's just nuance and I think it's an uncomfortable place for people to live in but it's why decisions have to be made with you know knowledge of both history and economics and Creative thought like we can't just keep running them through this stencil of Well, more taxes and more control less tax and what we don't have this isn't a tax issue. And that's where like to me, a centrist can take can borrow a little bit from FDR, but can borrow a little bit from Barry Goldwater can borrow a little bit from Marx, but can borrow a little bit from from John Locke. Like you got to make a stew with with some tools, you know, on both edges, essentially. It's a good way to put it with that. I don't think I'm going to top that a stew.

You got anything else to add before I don't like stew? I don't I'm not a big stew. Yeah, my wife does a pretty good beef stew though You know, but it's that's home cooking. I let's put it this way I'm never going to a restaurant in order to I mean who does though I There hey, there's there's guys out there probably like a stew restaurant out there. I don't know about the shepherds pie count is stew No, you don't think so. Mm-hmm. Okay. It's more of a I'm a foot in my mouth. Well, it's like a chicken pot pie. It's more like a chicken pot pie. I'm trying to think what classification of food is that, but casserole or something like, I don't know. Like an embedded delicatessen type of thing, you know? Maybe you'd put it in the same categories like a Chicago deep dish pizza. And that's the worst. If I wanted a loaf of bread. Oh, this is, we got to end it. This is crazy. Wait, wait, hold on. No, no, you bet. If you're talking about the really bread-y deep dish pizza.

To me, like all deep dish pizzas to bread. Yeah. Well, yeah, but if you get that real authentic Chicago deep dish, man, there isn't a lot I mean deep is in there. No, but it's a pie You've got like a pie the the crust is similar to a pie crust and then you've just the meat of the pie is just melted cheese and meat and condiment. It's just beautiful. Maybe I haven't had the right way because every time I've ever tried Chicago style pizza, I'm like, if I wanted to loaf of bread, I would go to the grocery store and you'll love bread. Yeah, see, you've had the bat. You've just been, you, you were taken to the wrong water. But like, I like, I like thin crust or thin like traditional crust. Yeah. I don't like this whole pizza debate back and forth because I sit there. My point, all pizza has its place. If you're melting cheese, that's fair. If you're melting cheese on top of bread, I'm interested. You know, that's a good point because I actually like French bread pizza. Well, there you go. And that's pretty bread-y.

There you go. But it's also crispy. But no, no. But what I'm saying though is that if you've had the really bread-y deep dish pizza, that is the west coast iteration of that. That's not the real. It's very possible. Yeah. That's not the real. I mean, do you think all those guys in the south side are bellying up to the bar to eat a bunch of bread? Yes. That sounds like the exact thing someone in the Midwest would do. No, no, but it's Chicago. It's different, man. They don't have the patience for that. You got to give them more cheese. When they call it a pie, that's what really what they mean. That's the right comp to it. And I'll take New York over Chicago on pizza. I'll say that. No, I didn't realize this, but apparently it's our last day working together. Everyone has their, everyone has a right to be wrong. It's fine. And it just breaks my heart to see somebody care about me so wrong. But anyway, that does it for me. You good? Yep. Alrighty, man. Uh, we will, as always, you guys can follow us on social media. I'm at KYR radio on Twitter, Chase's at Plankone macro.

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